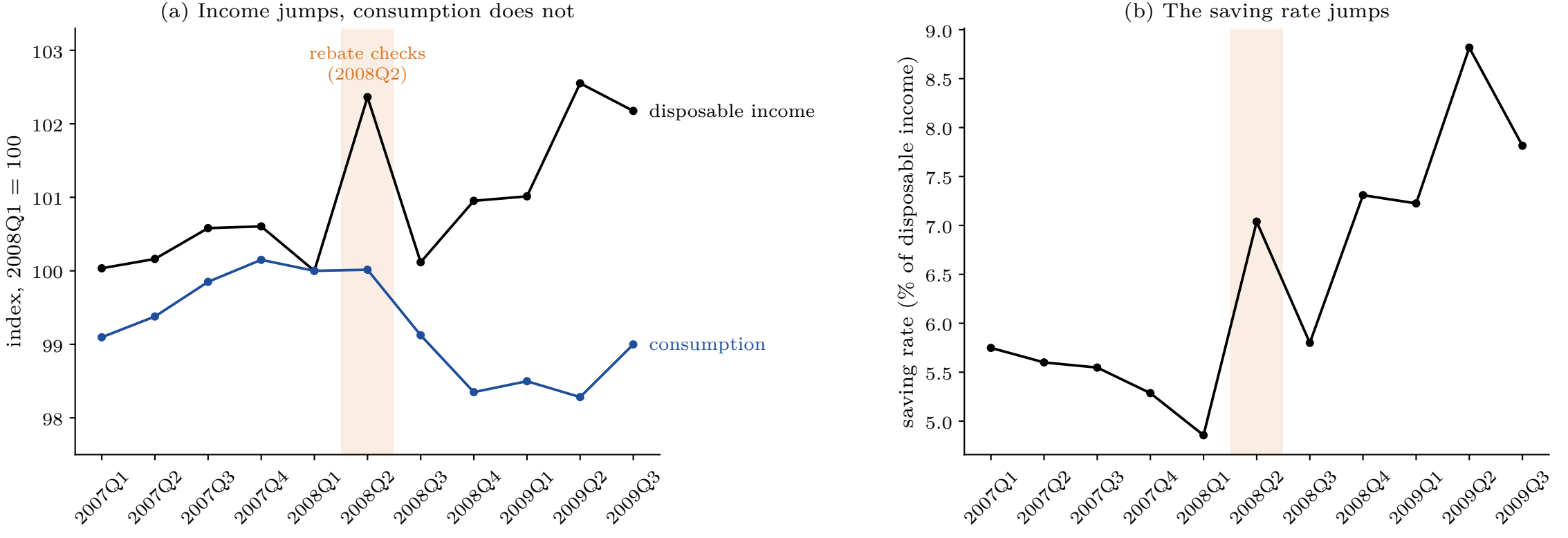

Fig. 9: In 2008Q2, real disposable income rose by \$232bn (annual rate) while consumption rose by \$1.4bn: in the aggregate, the immediate MPC out of this temporary windfall looks close to 1%, in line with Fig. 6. But the quarter is confounded by the oil shock and the onset of the recession; household-level studies exploiting the random timing of the checks find much larger spending responses.